

Payments Pricing Strategy Decision Tool

Scenario modeling for payment-processing revenue, attrition sensitivity, and customer pricing-risk review

Decision support	Pricing strategy	Tableau	Sensitivity analysis	Customer risk review
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Executive summary

Built a sanitized Tableau decision tool to evaluate whether payment-processing rate changes could generate meaningful revenue without creating avoidable customer attrition or pricing-risk exposure. The dashboard lets stakeholders test rate, fee, and attrition assumptions; compare scenario outcomes; calculate break-even attrition; and identify customer groups that require standard increase, capped increase, exclusion, or manual account-level review.

Business question

Could a payment-processing rate increase grow revenue without creating unacceptable attrition or customer-risk exposure?

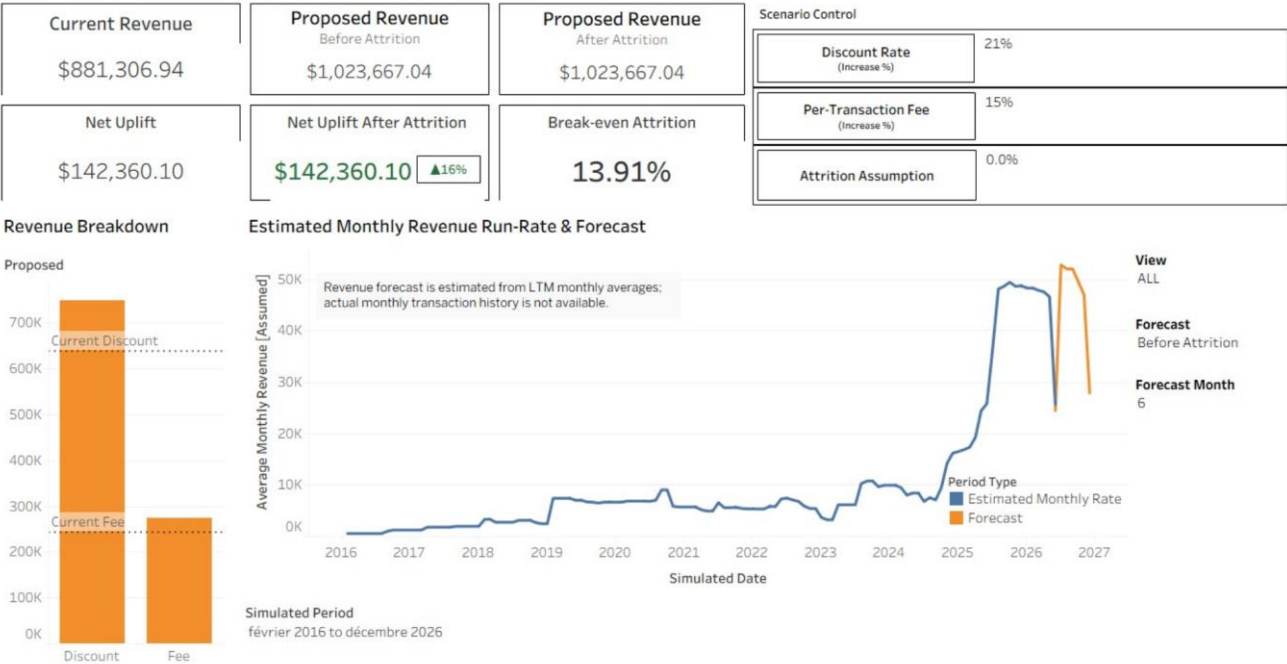
What I built

An interactive Tableau scenario model combining revenue uplift, break-even attrition, forecasted run-rate, and customer-level pricing-risk flags.

Recommendation

Use the base scenario as a segmented starting point, with capped increases and manual review for high-burden, non-standard, or strategically large accounts.

REVENUE IMPACT (LTM) AND FORECAST



Dashboard overview: revenue uplift, break-even attrition, scenario controls, and forecasted revenue run-rate.

Role & contribution

- Defined the revenue model using GPV, discount rate, transaction count, and per-transaction fee
- Designed interactive parameter controls and sensitivity logic
- Created customer pricing-risk rules for high-burden, non-standard, churned, delinquent, and high-GPV / low-rate accounts

Tools & methods

- Tableau calculated fields and parameter controls
- Python and Excel for data preparation and monthly run-rate estimation
- Sensitivity analysis, outlier review, effective-rate and fee-burden logic

Confidentiality note: example is sanitized/recreated for portfolio use; This case study is sanitized for portfolio use; customer names, identifiers, and sensitive values have been anonymized or modified.

1. Business problem and model logic

Business problem

The business needed to test whether a proposed payment-processing rate increase could create meaningful additional revenue without putting retention or customer relationships at unnecessary risk.

- How much incremental revenue could be generated?
- How much attrition could the proposal tolerate before uplift turns negative?
- Which accounts are already exposed to high pricing burden?
- Which high-volume customers may represent pricing opportunity or strategic risk?
- What missing data would improve confidence before implementation?

Core revenue model

Modeled Processing Revenue = $GPV \times \text{Discount Rate} + \text{Transaction Count} \times \text{Per-Transaction Fee}$

GPV was used as the main payment-processing revenue base because the analysis focused on payments revenue. GMV was treated as customer-size context because the difference between GMV and GPV could not be fully validated from the available fields.

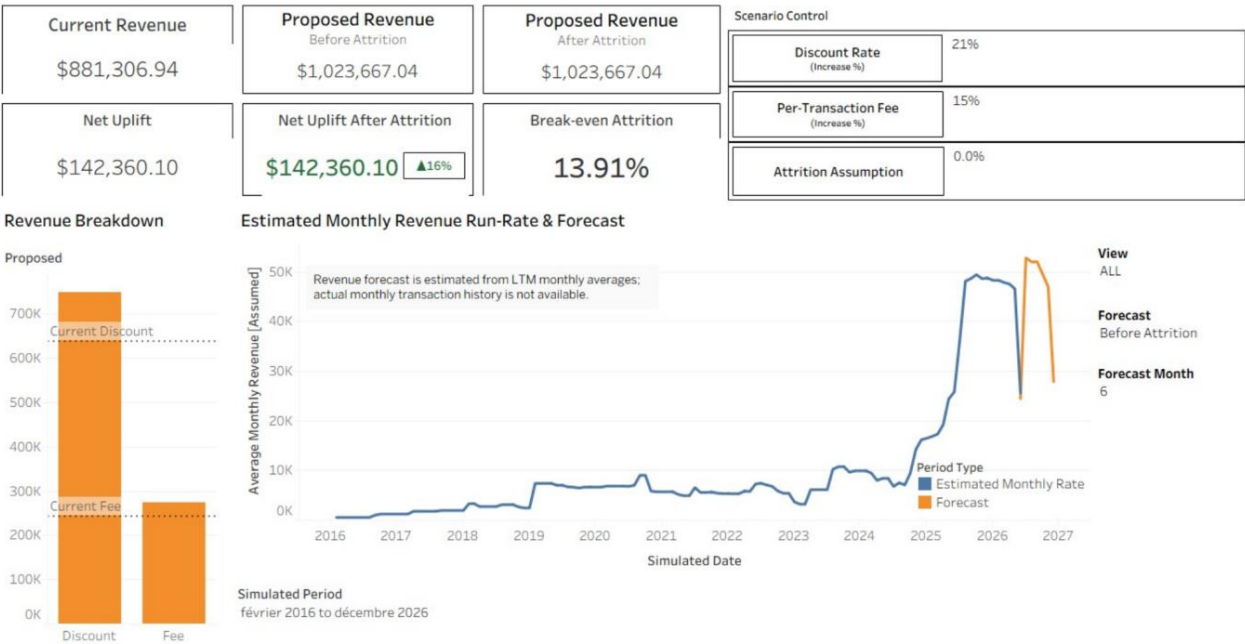
Customer-level logic

- Apply proposed pricing changes proportionally to existing pricing
- Cap or route customers above top-decile burden thresholds to manual review
- Exclude churned or delinquent accounts from automatic targeting

Data inputs

Revenue base	Customer context	Risk logic
GPV, discount rate, transaction count, per-transaction fee	Customer status, acquisition timing, terminal count, venue/account attributes	Effective rate, fee burden, high-GPV / low-rate flags, non-standard status

REVENUE IMPACT (LTM) AND FORECAST

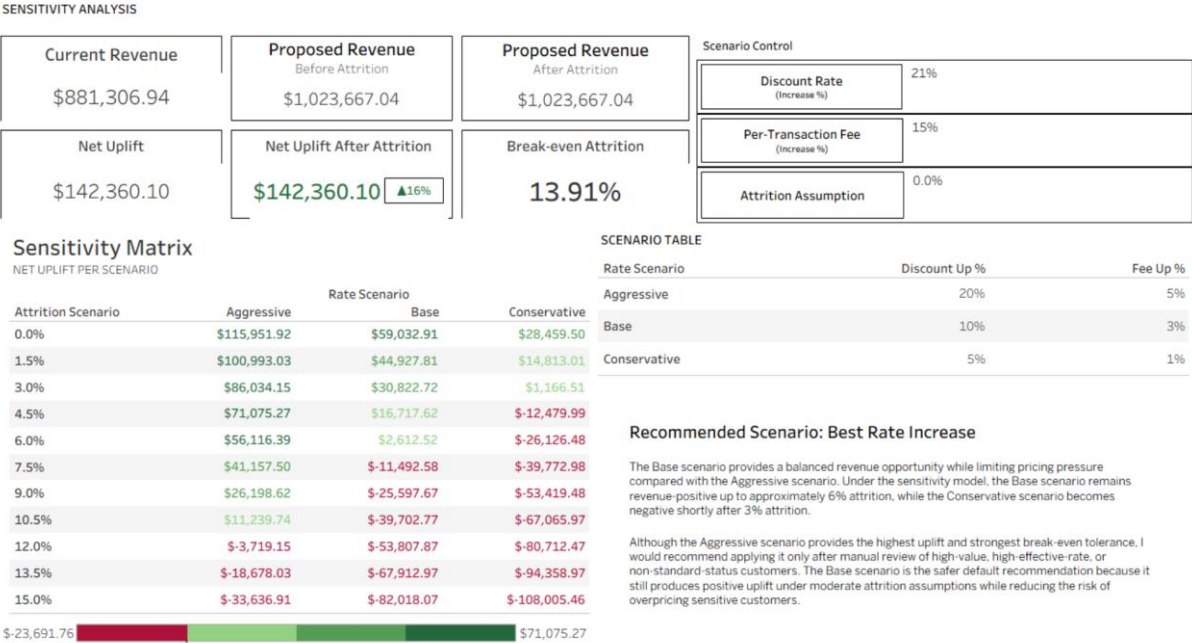


The executive view combines current/proposed revenue, net uplift, break-even attrition, scenario controls, and monthly run-rate forecasting. The forecast is estimated from LTM monthly averages because actual monthly transaction history was not available.

Design judgment

The goal was not just to show a revenue increase. The dashboard had to make the risk tradeoff visible: which customers could receive a standard increase, which customers needed capped pricing, and which accounts should be excluded or manually reviewed before implementation.

2. Scenario modeling and decision framework



Sensitivity view: standardized conservative, base, and aggressive scenarios are compared across attrition assumptions. The dashboard also allows free-form controls for ad hoc scenario testing.

Dashboard structure

- Executive Revenue Summary: current revenue, proposed revenue before/after attrition, net uplift, and break-even attrition
- Scenario Forecast: estimated monthly revenue run-rate using LTM assumptions
- Sensitivity Matrix: net uplift under conservative, base, and aggressive pricing scenarios
- Pricing Risk Review: effective-rate and burden views for high-risk or high-opportunity customers
- Outlier Review: account-level table for non-standard status and manual review triggers

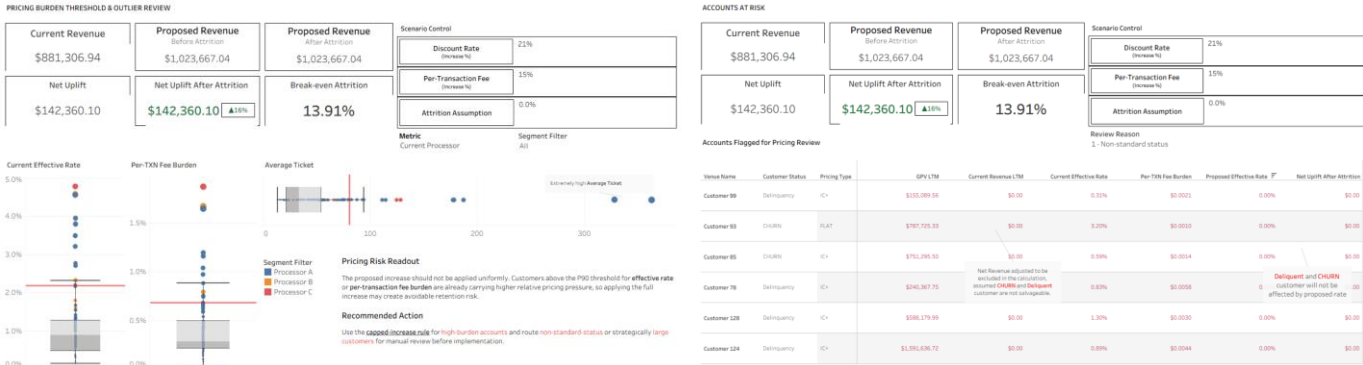
Key features

- Scenario controls for discount-rate increase, transaction-fee increase, and attrition assumption
- Break-even attrition to show when a pricing change stops being revenue-positive
- Sensitivity matrix so leadership does not rely on a single static scenario
- Effective-rate analysis to normalize pricing burden by GPV
- Fee-burden logic to flag customers where fixed fees are disproportionately high

Recommendation logic

Use the base scenario as the recommended starting point for a segmented pricing rollout, pending validation against contract terms, customer sensitivity, margin data, and account-manager review. Aggressive pricing has higher upside but should be reserved for selective accounts after manual review; conservative pricing reduces risk but may leave material revenue opportunity on the table.

3. Pricing risk review, implementation logic, and limitations



Risk and outlier views separate high-burden customers, non-standard accounts, delinquent/churned accounts, and strategically large accounts before rollout.

Customer group	Treatment logic
Lower-risk customers	Eligible for standard increase under base scenario
High effective-rate or high fee-burden customers	Cap the increase or route to manual review
Churned, delinquent, or non-standard accounts	Exclude from automatic targeting
High-GPV / low-rate strategic accounts	Review account-level opportunity and relationship risk before applying changes

Limitations and data needed

- Monthly transaction history to validate seasonality, growth, or decline
- Historical rate changes and response data to estimate price sensitivity
- Churn dates and churn reasons to separate price-driven churn from unrelated churn
- Interchange/pass-through cost data to estimate true margin
- Contract terms, pricing restrictions, account notes, and support/satisfaction indicators

Project value

This case study demonstrates how a BI dashboard can support pricing strategy beyond simple revenue reporting. It turns a rate-increase question into an interactive decision framework by combining revenue modeling, attrition sensitivity, customer segmentation, and outlier review.

The strongest part of the project is the judgment layer: not treating all customers the same, and making clear where the model is useful, where it is uncertain, and where account-level review is still needed.